AI Readiness Checklist for Indian SMBs

15 questions to assess where your business stands — and what to fix first. Whether you're a founder, operations head, or decision-maker at an Indian SMB, this checklist will help you cut through the noise and get an honest picture of where your business is today — and what needs to happen before AI can actually work for you.

4 Sections

Data, Process, Leadership & Culture

15 Questions

One point per honest Yes answer

1 Score

Know exactly where you stand

Clear Next Steps

Actionable guidance based on your result

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SECTION 1 OF 4

Data Foundation — Questions 1–5

You cannot build AI on bad data. This section tells you if your foundation is solid. Before any AI tool can help your business, it needs clean, structured, and trustworthy data to work with. Most Indian SMBs discover that their biggest AI barrier is not technology — it's the state of their data. Answer each question honestly and award yourself 1 point per Yes.

Question 1

Do you collect and store business data consistently — sales, operations, customer interactions — in a structured format (spreadsheet or software)?

Question 2

Is your data centralised in one place, or scattered across WhatsApp, email, and individual files?

Question 3

Do you trust your data enough to make business decisions from it without manually verifying it first?

Question 4

Do you have at least 12 months of historical data in your core business area (sales, inventory, customers)?

Question 5

Does your team follow consistent data entry practices — or does each person do it differently?

Section 1 Score: Total your Yes answers — maximum **5 points**. Write your score here: _____ / 5

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SECTION 2 OF 4

Process Clarity — Questions 6–9

AI automates and improves processes. If your processes are undefined, AI will automate the chaos. One of the most common mistakes SMBs make is trying to implement AI on top of broken or undocumented workflows. Before AI can make your operations faster, you need to know what those operations actually are — step by step. Award yourself 1 point per honest Yes answer below.

1

Question 6

□ Can you clearly describe your top 3 business processes in writing — step by step?

2

Question 7

□ Do you know exactly where your biggest operational bottleneck is right now?

3

Question 8

□ Have you identified at least one repetitive task your team does daily that consumes significant time?

4

Question 9

□ Do your employees follow documented processes, or does each person rely on personal judgment?

Section 2 Score: Total your Yes answers — maximum **4 points**. Write your score here: _____ / 4

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SECTION 3 OF 4

Leadership Readiness — Questions 10–12

AI adoption fails without leadership buy-in and realistic expectations. Even the best AI solution will stall if leadership doesn't have patience, basic literacy, and a committed budget. Founders and CXOs set the tone. If leadership is unclear, skeptical, or expecting overnight results, the initiative will collapse before it delivers value. Be honest — this section is about you. Award 1 point per Yes.

Why Leadership Matters

AI projects are change management initiatives first, technology projects second. Without leadership alignment, even the best tools fail to get adopted.

- Sets the tone for team adoption
- Approves the right budgets
- Manages expectations on ROI timelines
- Champions the initiative through early friction

Question 10

 Are you willing to invest 3–6 months before expecting measurable ROI from an AI initiative?

Question 11

 Does your leadership team have a basic understanding of what AI can and cannot do?

Question 12

 Do you have a budget allocated — even a small one — for technology and training this year?

Section 3 Score: Maximum **3 points**. Score: _____ / 3

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SECTION 4 OF 4

Team & Culture — Questions 13–15

The biggest barrier to AI adoption isn't technology — it's people. You can have the best data, the clearest processes, and full leadership buy-in — but if your team resists change, your AI initiative will stall. Culture determines whether new tools get embraced or quietly ignored. These final three questions assess whether your people are ready to be part of the journey. Award 1 point per Yes.

Question 13

Is your team generally open to learning new tools and changing how they work?

Question 14

Do you have at least one person internally who is technically curious and could champion an AI initiative?

Question 15

Have you communicated to your team that AI is about augmenting their work — not replacing them?

Section 4 Score: Total your Yes answers — maximum **3 points**. Write your score here: _____ / 3

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Your AI Readiness Score

Add up all your Yes answers from all four sections. Your total score out of 15 tells you exactly where your business stands — and more importantly, what you should focus on next. There are no shortcuts here: every gap you close now saves you months of frustration later. Be honest with your score — it's your roadmap, not a report card.

🏆 13–15 Points — AI Ready

Strong foundation. Time to move fast. You have solid data, clear processes, leadership alignment, and a willing team. Identify your first high-impact use case — whether it's customer service automation, demand forecasting, or lead scoring — and begin a focused pilot within the next 30 days. Don't wait for the perfect moment. You're ready.

✅ 9–12 Points — Almost There

A few gaps to close first. You're closer than you think, but a few weak spots — often in data consistency or process documentation — could undermine your AI investment. Spend the next 60–90 days tightening those gaps. Pick one section where you scored lowest and make it your priority. Then revisit this checklist before investing in any AI tool.

🔧 5–8 Points — Foundation First

Build your data and process foundation before considering AI tools. The good news: these are fixable problems. Start by centralising your data in one system, documenting your top three processes, and identifying one internal champion. These foundational steps typically take 3–6 months but will dramatically increase your AI ROI when the time comes.

📋 0–4 Points — Start Here

AI is premature. Focus on digitising your core operations first. Before AI, you need digital. Prioritise moving your key business data out of WhatsApp and paper files into structured systems — even a simple spreadsheet is a start. Set a goal to rescore yourself in 6 months. Every business starts somewhere, and this is yours.

Your Total Score: _____ / 15 | Section 1: ___/5 Section 2: ___/4 Section 3: ___/3 Section 4: ___/3

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About the Author

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Krishna Mohan helps Indian SMBs navigate the practical realities of AI adoption — cutting through the hype to focus on what actually works for businesses like yours. With deep experience in consulting and education, Krishna specialises in helping founders and decision-makers build the right foundation before investing in technology.

If you found this checklist useful, connect on LinkedIn for more practical AI insights, tools, and frameworks designed specifically for the Indian SMB context.

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